

SUPREME COURT OF PAKISTAN

(Appellate Jurisdiction)

Present:

Mr. Justice Yahya Afridi, CJ
Mr. Justice Naeem Akhter Afghan
Mr. Justice Shakeel Ahmad

Civil Appeals No. 232-L and 1553 of 2017

(Against the judgment dated 26.09.2017, passed by the Lahore High Court, Lahore in EFA No. 1649 of 2015)

Zarai Taraqiati Bank Ltd
(in CA No. 232-L of 2017)

Sikandar Khan
(in CA No. 1553 of 2017)

...Appellant(s)

Versus

Sher Muhammad & another
(in both cases)

...Respondent(s)

For the Appellant(s) : Mr. Muhammad Khalil, ASC
(in CA No. 232-L of 2017, via VL from Lahore)

Mr. Muhammad Munir Paracha,
Sr.ASC *(in CA No. 1553 of 2017)*

For Respondent No.1 : Malik Amjad Pervaiz, Sr. ASC *(in both cases)*

For Respondent No.2 : Mr. Muhammad Khalil, ASC
(in CA No. 1553 of 2017, via VL from Lahore)

Mr. Muhammad Munir Paracha, Sr.
ASC *(in CA No. 232-L of 2017)*

Date of Hearing : 04.05.2026.

JUDGMENT

Shakeel Ahmad, J.- These appeals call in question the legality of the judgment dated 26.09.2017 ("**impugned judgment**"), passed by the Lahore High Court, Lahore ("**High Court**"), whereby the Execution First Appeal (EFA), No. 1649 of 2015, filed by Sher Muhammad (to be referred hereinafter as "**judgment debtor**") was allowed.

2. Precisely, the judgment debtor had availed a finance facility from the Zarai Taraqiati Bank Ltd ("**appellant-Bank**") against the mortgage of his landed property through

Mortgage Mutation No. 583 dated 18.07.1995. Subsequently, without instituting a suit under Section 15 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 (**“Ordinance”**), the appellant-Bank proceeded to auction the mortgaged property through public auction held on 12.05.2008, whereby the same was purchased by Sikandar Khan (**“auction purchaser”**). Upon acquiring the knowledge of the said auction proceedings, the judgment debtor instituted an objection petition under Section 9 of the Ordinance, read with Order XXI Rule 66 of CPC, before the Banking Court. In response thereto, the appellant-Bank also filed a petition under Section 15(10) of the Ordinance, seeking an adjustment of the outstanding liability based on the auction proceedings. During the pendency of the said proceedings, the *vires* of Section 15 of the Ordinance came under challenge before the High Court and were declared *ultra vires* the Constitution by the Full Bench of the High Court in *Muhammad Umer Rathor*¹, which view was subsequently affirmed by this Court in *National Bank of Pakistan*². However, it was simultaneously held that the said declaration would not affect past and closed transactions. Thereafter, the Banking Court, upon conclusion of a full-fledged trial, vide order dated 13.10.2015, allowed the petition filed by the appellant-Bank. Aggrieved thereof, the judgment debtor assailed the said order through an EFA before the High Court, which was allowed through the impugned judgment, whereby the objection petition of the judgment debtor was accepted, and the petition filed by the appellant-Bank under Section 15 (10) of the Ordinance was dismissed. Hence, the present appeals.

3. We have heard learned counsel for the parties at length and examined the record with their able assistance.

4. The controversy involved in the present dispute gives rise to the following interconnected questions for determination, namely:

- i. What is the legal effect of an auction conducted without execution and registration of a sale deed under the relevant statutory framework, particularly

¹ Muhammad Umer Rathor v. Federation of Pakistan (PLD 2009 Lah 268),

² National Bank of Pakistan and 117 others v. Saf Textile Mills Ltd. and another (PLD 2014 SC 283),

- where possession of the mortgaged property was never assumed by the Bank?
- ii. What is the effect and legal consequence of the striking down of Section 15 of the Financial Institutions (Recovery of Finances) Ordinance, 2001?
 - iii. What is the scope and extent of objection proceedings before the Banking Court? And,
 - iv. What was the statutory scheme governing recovery proceedings under the Ordinance, particularly Section 15 thereof, as it stood before being struck down through the judgments referred to hereinabove?

5. Under the statutory scheme then prevailing, a financial institution was empowered to sell mortgaged property through public auction. The Statute treated the issuance of a sale certificate and attestation of mutation as sufficient to effect transfer of title, even in the absence of a registered sale deed. This constituted a marked departure from the general law governing the transfer of immovable property, namely the Transfer of Property Act, 1882, read with the Registration Act, 1908, under which the transfer of immovable property of the prescribed value can be effected through a duly executed and registered instrument.

6. The key question arising from the declaration of Section 15 of the Ordinance as *ultra vires* through the judgments referred to above is whether such declaration operated retrospectively or prospectively. It is well-settled that once a statutory provision is declared *ultra vires*, it is ordinarily treated as void *ab initio*, as if it had never existed in law. However, the Court retains the discretion to temper the consequences of such a declaration by applying the doctrine of prospective overruling, thereby limiting its effect to future transactions. Notwithstanding such limitation, past and pending transactions may still be examined and subjected to scrutiny where rights have not attained finality or stand conclusively adjudicated.

7. In the present case, it is an admitted position that the property was mortgaged through Mutation No. 583 executed on 18.07.1995. However, the possession remained with the judgment debtor. The mortgaged property was

subsequently put to auction and sold by the appellant-Bank on 12.05.2008. The record does not indicate that physical possession of the auctioned property was ever taken by the appellant-Bank or delivered to the auction purchaser. Although a mutation was effected in favour of the auction purchaser, no registered sale deed was executed in his favour. It is well-settled that mutation entries are primarily fiscal in nature and do not, by themselves, confer or divest title, which can only be transferred through a duly executed and registered conveyance in accordance with the Registration Act, 1908. Consequently, in the absence of a registered conveyance and delivery of possession, the alleged title of the auction purchaser remains legally infirm and unperfected. The Banking Court allowed the petition filed by the appellant-Bank under Section 15 (10) of the Ordinance, whilst dismissing the objection petition instituted by the judgment debtor, although the same was set aside by the High Court. The High Court, keeping in mind the Constitutional invalidity of Section 15 of the Ordinance, held that in any event, the alleged transfer of immovable property remained legally ineffective, as the mandatory requirements for a valid conveyance, including execution and registration of a sale deed, had not been complied with. In our view, the High Court was justified in setting aside the order of the Banking Court on multiple grounds. First, upon striking down of Section 15 of the Ordinance, the statutory foundation of the recovery mechanism ceased to exist, and subordinate forums were bound to give effect to the declared Constitutional position. Second, transfer of immovable property, in the absence of a registered conveyance, is not valid in law. Third, mutation entries are merely for fiscal purposes and do not confer title. Fourth, possession having remained with the judgment debtor is indicative of the fact that the sale was never fully worked out or perfected. Fifth, in the absence of a registered sale deed, the auction purchaser does not acquire an enforceable proprietary interest in the property.

8. The doctrinal conclusion emerging from the foregoing discussion is that the auction in the present case

did not culminate in a complete and legally perfected transfer of title, as the transaction remained unfinalized in the absence of a registered conveyance and was, in any event, under judicial challenge. In these circumstances, the declaration of Section 15 of the Ordinance as *ultra vires* assumed full relevance and application to the proceedings in question. The High Court was, therefore, justified in setting aside the order of the Banking Court, as the statutory protection ordinarily attached to auction sales under the said provision was no longer available. Consequently, tested on the touchstone of general property law, no valid or enforceable title can be said to have passed to the auction purchaser in the absence of compliance with the mandatory requirement governing the transfer of immovable property.

9. Before parting with this judgment, it is observed that in execution proceedings, the Courts of law are required to strike a careful balance between the competing interests of the decree holder and the judgment debtor by applying the principles of proportionality to ensure that the rights of both are fairly protected. At the same time, Courts must remain equally vigilant in safeguarding the interests of third parties, particularly of a *bonafide* auction purchaser. In the present case, the record reflects that the auction purchaser acquired the mortgaged property through a Bank/Court auction, paid the sale consideration in full, and a mutation was also effected in his favour. However, the transaction ultimately suffered from a legal defect owing to the absence of a registered sale deed, particularly in the aftermath of Section 15 of the Ordinance having been declared *ultra vires* the Constitution. The law, in such situations, seeks to harmonise the sanctity of property law, the protection of *bonafide* purchasers for value, and the imperative to prevent unjust enrichment. Accordingly, although the auction purchaser may not be able to sustain a valid title in strict law, he cannot be left without remedy where he has acted *bonafide*, without fraud or collusion, and pursuant to a process conducted under colour of a lawful authority. In these circumstances, and having regard to the equities of the case, the auction purchaser is

entitled to restitution of the amount deposited by him towards the auction purchase, together with mark-up at the prevailing banking rate from the date of deposit until actual payment, to place him, as far as possible, in the position he would have occupied had the transaction not been rendered legally ineffective.

10. In view of the above discussion, the Civil Appeal No. 232-L of 2017, filed by the appellant-Bank, is dismissed, while Civil Appeal No. 1553 of 2017, filed by the auction purchaser, is partly allowed in the above terms.

Announced in open Court at Islamabad on 17/6/2026

*Zia/*Rameen Shahram LC*

Approved for Reporting.